

7-4b A Strong Dollar versus a Weak Dollar

In recent years, the debate on the value of the dollar is closely related to the debate on the value of the yuan. The value of the US dollar is a trillion-dollar question. At present, 65% of the world’s foreign exchange holdings are in dollars, while the US share of global GDP is only 24% (see [Figure 7.1](#)). The recent economic turmoil has intensified the global debate on the proper value of the dollar (see [Table 7.3](#)). In terms of international trade competitiveness, a strong dollar may make it harder for US firms to export and to compete on price when combating imports (see the [Opening Case](#)). Conversely, a weak dollar may facilitate more US exports and stem import growth. Since the Plaza Accord of 1985, after which the dollar declined sharply against the Japanese yen, the United States has been pursuing a “cheap dollar” policy in order to facilitate more exports and reduce trade deficits. Unfortunately, the policy has backfired. While US merchandise exports did rise (from US\$1 trillion in 2007 to over US\$1.5 trillion in 2012), US trade deficits remained consistently high. In part this was due to China’s (pre-2005) policy to peg its yuan to the dollar, which made the yuan also cheap. Since 2005, the United States has complained that China did not let its yuan appreciate enough. However, the yuan has appreciated 26% against the dollar between 2005 and 2014.

Table 7.3

A Strong Dollar versus a Weak Dollar

Panel A. A Strong (Appreciating) Dollar

Advantages	Disadvantages
- US consumers benefit from low prices on imports. - Lower prices on foreign goods help keep US price level and inflation level low. - US tourists enjoy lower prices abroad. - US firms find it easier to acquire foreign targets.	- US exporters have a hard time to compete on price abroad. - US firms in import-competing industries have a hard time competing with low-cost imports. - Foreign tourists find it more expensive when visiting the US.

Panel B. A Weak (Depreciating) Dollar

Advantages	Disadvantages
• US exporters find it easier to compete on price abroad. • US firms face less competitive pressure to keep prices low. • Foreign tourists enjoy lower prices in the US. • Foreign firms find it easier to acquire US targets. • The US can print more dollars (quantitative easing) to export its problems to the rest of the world.	• US consumers face higher prices on imports. • Higher prices on imports contribute to higher price level and inflation level in the US. • US tourists find it more expensive when traveling abroad. • Governments, firms, and individuals outside the US holding dollar-denominated assets suffer from value loss of their assets.

In addition to debating what the “fair” value of the dollar is, a new voice is now calling for *abandoning* the dollar as a *de facto* reserve currency (since the demise of the Bretton Woods system in the 1970s, the US dollar is no longer the official reserve currency, but it has retained some characteristics of a reserve currency due to its “soft power”). Leading this new global movement is China. China is America’s number one creditor country that holds about US\$2.2 trillion in foreign exchange reserves, two-thirds of which are denominated in dollars. Since the yuan is not internationally accepted (technically nonconvertible), China does not suggest that the yuan be used to replace the dollar. Instead, China has proposed to use Special Drawing Rights (SDRs), already created by the IMF, to replace the dollar as a global reserve currency. While this proposal is made in the name of promoting global stability, China is not totally altruistic. Since the US budget deficit has exploded and the US Federal Reserve has been printing a ton of new money to fund stimulus packages (with the euphemism “quantitative easing”), China is deeply worried that a cheapening dollar will be a nasty hit to Chinese holdings of US Treasury bonds. There is some fundamental soul-searching among Beijing’s economic mandarins. Their policy of keeping the yuan low versus the dollar to promote exports and then to recycle export earnings to buy US Treasury bonds has backfired. Even the typically timid, state-controlled media in China is now full of criticisms of the Chinese government’s “irresponsible” investment policy, which ends up investing hard-earned dollars from a developing economy to subsidize a very rich economy. China’s proposal to dethrone the dollar as a dominant currency, although clearly a long shot, quickly garnered support from Brazil, Russia, India, and other emerging economies.

How are you personally affected by fluctuations in currency exchange rates?

Image/Alamy

The United States, on the other hand, has every interest to keep the dollar's status quo as a (*de facto*) reserve currency around the world so that China and other surplus countries will keep buying US Treasury bonds—for lack of a better alternative. While China has continued to buy new US Treasury bonds, it has taken two concrete steps. First, the People's Bank of China, the central bank, made yuan available to pay for exports to Argentina, Belarus, Indonesia, Malaysia, and South Korea if they are short on dollars. Second, some Chinese exporters started to settle certain transactions in Hong Kong and in Africa with yuan (see [Emerging Markets 7.1](#))—the first step for the yuan's eventual international convertibility.

Emerging Markets 7.1

Chinese Exporters Cope with Currency Fluctuation in Africa

In 2000, trade between China and Africa was only US\$10 billion. In 2010, the volume rocketed ahead to reach US\$127 billion. While China has become Africa's number-one trading partner, the downside of such intense trading is the complications of having to deal with currency fluctuation. The vast majority of the trade deals between China and Africa are conducted in US dollars, which have fluctuated substantially. Since the dollar is likely to depreciate and the yuan is likely to correspondingly appreciate further, Chinese exporters with costs in yuan and payments in dollars stand to lose. While currency hedging is an obvious coping strategy, many small exporters cannot afford the expenses. In addition, currency hedging is not risk free. Wrong bets may end up burning firms big time.

To better cope with currency fluctuation, one straightforward mechanism for Chinese exporters is to insist on payment in yuan. The question is: Why would African importers agree to pay in yuan? Two compelling reasons emerge. First, Chinese exporters can save approximately 7% to 10% of their costs if they are paid in yuan. If they can share some of these gains with their African trading partners with lower prices, the new deal to use yuan as the common transaction currency becomes a win-win solution for both sides. Second, an increasing number of Chinese firms

have engaged in foreign direct investment (FDI) in Africa. Their subsidiaries in Africa would be comfortable to use yuan to buy supplies, components, and manufactured products from home.

Johannesburg, South Africa-based Standard Bank, which is the largest bank in Africa, has estimated that by 2015, 40% of the China-Africa trade (worth US\$100 billion) may be settled in yuan. This would significantly eliminate the headache of currency fluctuation for Chinese exporters. By 2014, approximately 18% of China's foreign trade has already been settled in yuan. Little by little, China's currency is gaining ground in Africa and elsewhere. However, adding all international payments together, the yuan in 2014 only ranks 14th in the world, behind Russia's ruble and Thailand's baht, according to SWIFT, a company that specializes in transfer of funds between banks (most readers of this book have probably used "SWIFT code" for your banks when sending or receiving funds). Therefore, the rise of the "redback" as a major currency for international trade in Africa and beyond still has a long way to go.

Sources: *Based on (1) 21st Century Business Insights, 2011, Renminbi is popular in Africa, September 16: 26; (2) G. Allard, 2012, Chinese OFDI in Africa, in I. Alon, M. Fetscherin, & P. Gugler (eds.), Chinese International Investments (pp. 279–299), New York: Palgrave; (3) Economist, 2013, Yuan for the money, February 9: 14–15; (4) Economist, 2014, The red and the green, April 26: 44; (5) www.standardbank.com.*

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